

Calendar Line 7

Case Name: *Veronica Silva v. Reyes Coca-Cola Bottling, L.L.C., et al.*
Case No.: 25CV479934

This is a class action arising from defendant Reyes Coca-Cola Bottling L.L.C.'s alleged wage and hour violations.

Before the Court is Defendant's motion to compel arbitration, dismiss class claims, and stay civil proceedings, which is opposed. As discussed below, the Court GRANTS Defendant's motion to compel arbitration, DISMISSES Plaintiff's class claims, and STAYS this action pending the outcome of the arbitration.

XVIII. BACKGROUND

According to the allegations of the operative complaint ("Complaint"), Plaintiff worked for Defendants from March 7, 2022 through September 12, 2025. (Complaint, ¶ 20.) She performed various duties, including, among other things, conducting store visits, building product displays, ensuring product placement and compliance, maintaining customer relationships, and performing sales and merchandising tasks. (*Ibid.*) Defendants failed to: pay wages, including minimum and overtime wages; provide meal and/or rest periods or compensation in lieu thereof; timely pay wages during employment; provide compliant wage statements; timely pay wages due upon separation; reimburse for necessary business expenses.

On November 12, 2025, Plaintiff initiated this action with the filing of the Complaint, which asserts the following causes of action: (1) Violation of Cal. Labor Code §§ 1194, 1197, and 1197.1 (Minimum Wages) and Cal. Code of Regulations, Title 8, § 11040 (Split Shift Premiums); (2) Violation of Cal. Labor Code §§ 510 and 1198 (Unpaid Overtime); (3) Violation of Cal. Labor Code §§ 226.7 and 512(a) (Meal Break Violations); (4) Violation of Cal. Labor Code § 226.7 (Rest Break Violations); (5) Violation of Cal. Labor Code §§ 204 and 210 (Wages Not Timely Paid During Employment); (6) Violation of Cal. Labor Code § 226(a) (Wage Statement Violations); (7) Violation of Cal. Labor Code §§ 201, 202, and 203 (Untimely Final Wages); (8) Violation of Cal. Labor Code §§ 2800 and 2802 (Failure to Reimburse Necessary Business Expenses); and (9) Violation of Cal. Business & Professions Code §§ 17200, et seq.

XIX. REQUESTS FOR JUDICIAL NOTICE

A. Defendant's Request

Defendant requests judicial notice of the JAMS Employment Arbitration Rules and Procedures: Exhibit A.

Evidence Code section 452, subdivision (h), permits the Court to take judicial notice of items that are "not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code ¶ 452, subd. (h).) Thus, the Court will take judicial notice of the JAMS Rules and Procedures.

Defendant's request for judicial notice is GRANTED.

B. Plaintiff's Request

Plaintiff requests judicial notice of the following items from *Rigsby, et al. v. Reyes Coca-Cola Bottling LLC, et al (Rigsby)*, filed in the Superior Court of Sacramento County::

- (1) Class Action Complaint filed on October 24, 2023: Exhibit A;
- (2) Second Amended Class Action and PAGA Complaint, filed on March 3, 2025: Exhibit B;
- (3) The memorandum of points and authorities in support of Plaintiffs' motion for preliminary approval, filed on May 16, 2025: Exhibit C;
- (4) Declaration of Erik Dos Santos in support of the preliminary approval motion, filed on May 16, 2025: Exhibit D;
- (5) The notice of motion for final approval of class action settlement, filed on November 20, 2025: Exhibit E;
- (6) The memorandum of points and authorities in support of Plaintiffs' motion for final approval, filed on November 20, 2025: Exhibit F;
- (7) Declaration of Erik Dos Santos in support of the final approval motion, filed on November 20, 2025: Exhibit G;
- (8) Declaration of David D. Bibiyan in support of the final approval motion, filed on November 20, 2025: Exhibit H;
- (9) Declaration of Jose Garay in support of the final approval motion, filed on November 20, 2025: Exhibit I;
- (10) Declaration of Marcus J. Bradley in support of the final approval motion, filed on November 20, 2025: Exhibit J;
- (11) Declaration of Tarus Dancy of CPT Group, Inc. in support of the final approval motion, filed on November 20, 2025: Exhibit K;
- (12) The notice of minute order and order granting Plaintiffs' motion for final approval, filed December 19, 2025: Exhibit L;
- (13) The order granting final approval of class action and PAGA settlement, filed December 12, 2025: Exhibit M.

Evidence Code section 452, subdivision (d), permits judicial notice of records of any court of this state or any court of record of the United States or of any state of the United States. (Code Civ. Proc., § 452, subd. (d).) The above items are court records, therefore they are proper items of judicial notice. Thus, the Court takes judicial notice of the existence of the documents and the legal effect of the court orders but does not take notice of the truth of any disputed contents. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81 (*Oh*).) Accordingly, Plaintiff's request for judicial notice is GRANTED.

C. Defendant's Supplemental Request

Defendant requests judicial notice of the following items from *Rigsby*:

- (1) The Order granting final approval, filed on December 12, 2025: Exhibit A; and
- (2) Register of Actions, accessed on August 12, 2026: Exhibit B.

Defendant's supplemental request for judicial notice is GRANTED.

XX. DEFENDANT’S EVIDENTIARY OBJECTIONS

Defendant submits evidentiary objections to Plaintiff’s declaration in support of her opposition.

Defendant’s objections are OVERRULED.

XXI. DEFENDANT’S MOTION TO COMPEL ARBITRATION

Defendant moves for an order compelling arbitration and staying proceedings pursuant to the arbitration agreement (the “Agreement”).

A. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreements at issue expressly provide that they are governed by the Federal Arbitration Act.

“The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce.” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, “[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement.” (*Ibid.*) Where the Agreement expressly provides that it “shall be interpreted and enforced in accordance with the [FAA],” federal procedural and substantive law apply. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122 [“[t]he phrase ‘pursuant to the FAA’ is broad and unconditional,” and unambiguously adopts both the procedural and substantive aspects of the FAA].)

Under the FAA, the Court must grant a motion to compel arbitration if any suit is brought upon “any issue referable to arbitration under an agreement for such arbitration” (9 U.S.C. § 3), subject to “such grounds as exist at law or in equity for the revocation of any contract...” (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy

favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted.)

On a motion to compel arbitration under the CAA, “[t]he party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Pinnacle, supra*, 55 Cal.4th at p. 236.)

B. Discussion

Defendant argues there is a valid arbitration agreement and requests for a stay pending arbitration.

1. Waiver of Right to Compel Arbitration

As a threshold matter, Plaintiff argues that Defendant waived its right to compel arbitration because it settled the same class and PAGA claims in *Rigsby*. The *Rigsby* matter is a class and representative PAGA action, which was initiated on August 2, 2021 in Sacramento County Superior Court. It involved the same wage and hour claims that Plaintiff asserts against Defendant in the instant action. On December 12, 2025, the court granted final approval of the class and PAGA settlement in *Rigsby* and it entered judgment. It is undisputed that Plaintiff is a class member who is covered by the *Rigsby* settlement and as a result, she released all of her claims until September 9, 2024. (Declaration of Sage Stone (“Stone Decl.”), ¶ 2.) Plaintiff ended her employment with Defendant on September 12, 2025. (Declaration of Mia Wilson (“Wilson Decl.”), ¶ 4.)⁷

“[W]here the FAA applies, whether a party has waived a right to arbitrate is a matter of federal, not state, law.” (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963 (*Davis*).) However, “the test for determining waiver of the right to arbitrate is the same under the FAA and the [California Arbitration Act].” (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 11.) The leading California case discussing waiver, *St. Agnes Medical Center v. PacificCare of California* (2003) 31 Cal.4th 1187 (*St. Agnes*), adopted a set of factors from the Tenth Circuit opinion in *Peterson v. Shearson/American Express, Inc.* (10th Cir. 1988) 849 F.2d 464. Both federal and California law “reflect[] a strong policy favoring arbitration agreements and require[] close judicial scrutiny of waiver claims.” (*St. Agnes, supra*, 31 Cal.4th at p. 1195.) “[W]aivers are not to be lightly inferred and the party seeking to establish a waiver bears a heavy burden of proof.” (*Ibid.*)

⁷ Wilson is a Human Resources Director for Defendant.

Under the *St. Agnes* test, the following factors are relevant in deciding whether a party's conduct constitutes a waiver of arbitration:

(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and [formerly] (6) whether the delay affected, misled, or prejudiced the opposing party.

(*St. Agnes*, *supra*, 31 Cal.4th at pp. 1195–1196 [internal quotations omitted].)

The sixth factor regarding prejudice is based on federal cases that “applied an arbitration-specific rule that required a showing of prejudice to establish waiver.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 (*Quach*).) In its 2022 *Morgan* decision, “the United States Supreme Court rejected this rule.” (*Quach*, 16 Cal.5th at p. 569.)

Morgan clarified that the federal “policy favoring arbitration” is about putting arbitration agreements on equal footing with other contracts, not about favoring arbitration. ([*Morgan*, *supra*, 596 U.S. at p. 418].) Accordingly, the Supreme Court held that, under federal law, a court must apply the same rules that apply to any other contract when determining whether a party to an arbitration agreement has lost the right to enforce the agreement. (*Ibid.*)

Because our state law arbitration-specific prejudice requirement is based upon the federal precedent that *Morgan* overruled, we now abrogate it. California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts. Accordingly, under California law, as under federal law, a court should apply the same principles that apply to other contracts to determine whether the party seeking to enforce an arbitration agreement has waived its right to do so. (*Ibid.*)

“To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party's conduct.” (*Id.* at p. 585.) The multifactor test is not “a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails,” nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora*, *supra*, 186 Cal.App.4th at p. 15, internal quotation marks and citation omitted.) “The waiver inquiry is exclusively focused on the waiving party's conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party's subjective evaluation of the waiving party's intent is relevant.” (*Quach*, *supra*, 16 Cal.5th at p. 585.)

California case law makes it clear that a waiver of arbitration is not lightly inferred, and the party seeking to establish a waiver bears a heavy burden of proof. (*St. Agnes*, *supra*, 31 Cal.4th at p. 1195; see also *Fleming Distribution Co. v. Younan* (2020) 49 Cal.App.5th 73, 80 (*Fleming*).) The Court will resolve any doubts as to whether a party's conduct constitutes a

waiver in favor of finding no waiver. (*Franco v. Arakelian Enterprises, Inc.* (2015) 234 Cal.App.4th 947, 958 (*Franco*).)

Plaintiff argues that Defendant demonstrated its intent to waive its right to arbitrate by settling the *Rigsby* action and obtaining a class wide release without any carve out for signatories to an arbitration agreement such a Plaintiff. (Opp., pp. 6:1-3.) She further argues that Defendant was “not unaware” that a significant portion of the class in *Rigsby* were signatories to the arbitration agreement. (Opp., p. 6:3-5.) Plaintiff fails to address any of the other *St. Agnes* factors. Here, Plaintiff initiated this action on November 12, 2025 and Defendant filed the instant motion on January 30, 2026. Thus, it does not appear that the parties are well into preparation of this lawsuit before Defendant demonstrated an intent to arbitrate. A trial date is not set for this matter; Defendant has not filed a counterclaim; there is no evidence that important intervening steps have been taken. Thus, the *St. Agnes* factors do not support a finding of waiver here.

Plaintiff relies heavily on *Sierra Pacific Industries Wage & Hour Cases* (2025) 116 Cal.App.5th 1038 (*Sierra Pacific*), in which the plaintiff, a former employee of the defendant brought a class action for wage and hour violations in October 2018. (*Id.* at p. 1042.) The defendant “defended the action in the trial court for years, remaining silent on the subject of arbitration and refusing to produce arbitration agreements signed by putative class members despite being ordered to do so.” (*Id.* at pp. 1042-1043.) After eight plaintiff classes were certified more than four years into the litigation, the defendant produced more than 3,000 signed arbitration agreements and then immediately moved to compel arbitration. (*Id.* at p. 1043.) The appellate court affirmed the trial court’s conclusion and it reasoned that,

The undisputed record of trial court proceedings demonstrate that Sierra Pacific’s “words and conduct were markedly inconsistent with an intent to arbitrate...Sierra Pacific spent years litigating this case in the trial court. For much of that time Sierra Pacific actively resisted plaintiffs’ efforts to discover the extent to which putative class members might be subject to arbitration. Sierra Pacific refused for years to identify signatory employees or produce signed arbitration agreements, going so far as to defy the trial court’s February 2020 order. That conduct was obviously inconsistent with an intent to arbitrate, as even Sierra Pacific appears to have recognized.

...

Though Sierra Pacific couched its refusal in terms of privacy concerns, the company made no effort to address those concerns through appropriate avenues, such as a protective order limiting precertification discovery to exclude signatory employees. Instead, Sierra Pacific participated in extensive class discovery—both responding and propounding—all while saying nothing about any intent to arbitrate. And Sierra Pacific went beyond merely keeping quiet. Sierra Pacific repeatedly implied the signatory employees were part of the putative class(es), whose claims were to be litigated, rather than arbitrated.

As previously discussed, Sierra Pacific participated in significant class discovery involving the signatory employees while refusing to identify them as such. Sierra Pacific included records and information for 642 signatory employees in discovery responses pertaining to a putative class of 1,388, without differentiating between signatories and nonsignatories, or giving

plaintiffs the information necessary to do so. This signaled that Sierra Pacific was not planning to enforce the arbitration agreements. That signal was amplified by Sierra Pacific's participation in the first of two separate mediations that would have resolved the claims of signatory employees, and its representations to the trial court and signatory employees asked to provide declarations. And the signal would have grown louder—unmistakably so—when Sierra Pacific deleted arbitration from the long list of affirmative defenses in its answer to plaintiffs' second amended complaint. Applying our independent judgment and considering the totality of the circumstances, we conclude the undisputed record of trial court proceedings contains clear and convincing evidence that Sierra Pacific intentionally waived the right to compel arbitration.

(*Id.* at pp. 1053-1055.)

The facts in the instant action are clearly distinguishable from those in *Sierra Pacific* which was one proceeding where defendant negotiated a classwide settlement and then tried to compel arbitration. Here, there are two separate proceedings, in two separate trial courts, involving different named plaintiffs—including one where the named plaintiff waived arbitration. Plaintiff fails to provide any authority which extends the holding in *Sierra Pacific* to separate cases with the aforementioned differences. Moreover, in *Sierra Pacific*, the waiver reached the same claims that were being litigated on a classwide basis, whereas here, Plaintiff's claims outside of the *Rigsby* class period could not have been addressed in *Rigsby*. Furthermore, Plaintiff was an absent class member in the *Rigsby* action, which settled prior to class certification, thus, Defendant could not have compelled arbitration in that action. Thus, Plaintiff's reliance on *Sierra Pacific* is unavailing. Where there are any doubts as to whether a party's conduct constitutes a waiver, the Court will resolve them in favor of finding no waiver. (*Franco, supra*, 234 Cal.App.4th at p. 958.)

Based on the foregoing, Plaintiff fails to establish, by clear and convincing evidence, that Defendant waived its right to arbitrate.

2. Existence of an Agreement

As one Court of Appeal summarized, [T]he moving party bears the burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence

of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.
(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

Defendant provides Wilson’s declaration, in which she states that Plaintiff was hired on March 7, 2022, as a Sales Account Manager and remained in the position until her termination on September 12, 2025. (Wilson Decl., ¶ 4.) During the onboarding process, she was required to review, acknowledge, and maintain compliance with Defendant’s Employment Guidelines and she accordingly did so. (Wilson Decl., ¶¶ 5-7, Exh. A.) Defendant does not have any record of Plaintiff disputing authenticity of her acceptance or signatures at any time during her employment. (Wilson Decl., ¶ 8.)

The Agreement provides,
Company and Employee agree that any employment-related legal claims or controversies (“Claims”) that Employee may have against the Company, or that the Company may have against Employee, must be resolved by arbitration instead of the courts, and the parties mutually waive their right to a trial before a judge or jury in federal or state court in favor of arbitration under this Agreement. This Agreement is intended to be both retrospective and prospective, and Claims is intended to include past, present, and future claims, including claims that may have originated or accrued prior to the signing of this Agreement. Claims that have already been filed in a court of law at the time this Agreement is signed are not subject to this Agreement. Claims include, but are not limited to, claims for wages or other compensation due; claims for breach of any contract or covenant (express or implied); tort claims; claims for harassment or discrimination (including, but not limited to, race, sex, religion, national origin, age, marital status, medical condition, handicap, disability or other protected characteristic under applicable discrimination law); claims for benefits other than those brought under the Employee Retirement Income Security Act (“ERISA”); and claims for violation of any federal, state or other governmental law, statute, regulation, ordinance or common law. This includes, but is not limited to, claims under the Age Discrimination in Employment Act, Title VII of the Civil Rights Act of 1964, the Americans with Disabilities Act, the Family and Medical Leave Act, the Fair Labor Standards Act and all comparable laws.
(Agreement, p. 1.)

Based on the foregoing, Defendant provides admissible evidence to establish that a valid agreement exists between the parties. (See *Gamboa, supra*, 72 Cal.App.5th at pp. 165–166.)

Once the party seeking arbitration meets its burden of proving the existence of an arbitration agreement, “the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Pinnacle, supra*, 55 Cal.4th at p. 236.) Here, Plaintiff does not dispute the existence of the Agreement, but rather she argues the Agreement is procedurally and substantively unconscionable.

3. Unconscionability

Plaintiff argues the Agreement is substantively and procedurally unconscionable.

“The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 125, [internal citation omitted] (*OTO*)). Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *Jones v. Wells Fargo Bank* (2003) 112 Cal.App.4th 1527, 1539 (*Jones*)). Both must appear for a court to invalidate a contract or one of its individual terms (*Armendariz, supra*, 24 Cal.4th at p. 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174), but they need not be present in the same degree: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz, supra*, 24 Cal.4th at p. 114.) “A contract’s substantive fairness must be considered in light of any procedural unconscionability in its making.” (*Ibid.*, [internal quotations and citation omitted].) “The burden of proving unconscionability rests upon the party asserting it.” (*OTO, supra*, 8 Cal.5th at 126.)

i. Procedural Unconscionability

Procedural unconscionability focuses on the elements of oppression and surprise. (*Armendariz, supra*, 24 Cal.4th at p. 114.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice,” while “[s]urprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Davis v. TWC Dealer Group, Inc.* (2019) 41 Cal.App.5th 662, 671, [internal citation and quotation marks omitted].)

Analyzing procedural unconscionability “begins with an inquiry into whether the contract is one of adhesion” (*Armendariz*, 24 Cal.4th at 113) i.e., one that is “standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 126.) Arbitration agreements imposed as a condition of employment are typically deemed to be adhesive and the determinative inquiry in such a circumstance is “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (*Id.*) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Pinnacle, supra*, 55 Cal.4th at p. 247.) Circumstances relevant to establishing oppression include: the amount of time the party is given to consider the agreement; the amount and type of pressure exerted on them to sign; the length of the proposed contract and the length and complexity of the challenged provision; the education and experience of the party; and whether the party’s review of the agreement was aided by an attorney. (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348.) In pre-hiring settings, such as the one at bar, courts must be “particularly attuned” to the danger of oppression and overreaching. (*Armendariz, supra*, at 115.)

Here, Plaintiff argues that there was an adhesion contract because Defendant was her employer and the Agreement was presented on a take-it-or-leave-it basis as a condition of employment. (Opp., p. 7:18-21.) In support, Plaintiff provides her declaration, in which she

states, she remembers being asked to sign the Agreement as part of her onboarding but she did not feel that she could negotiate any of the presented documents and she felt pressured to sign every document to start and keep her job. (Plaintiff's Declaration ("Decl."), ¶ 4.) She further states that she did not feel free to ask questions as she did not want to do anything that might put her career at risk. (*Ibid.*) She had no legal assistance in reviewing the onboarding documents and she does not recall being told by anyone that she could consult an attorney. (Plaintiff's Decl., ¶ 5.) Plaintiff does not indicate that she asked for an explanation of any documents or whether she requested a copy or more time to review.

A contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased with the fact of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) The Court finds procedural unconscionability is present based on the requirement that Plaintiff sign the Agreement to begin employment with Defendant. However, in order to be unconscionable, there must be procedural and substantive unconscionability. (See *Armendariz, supra*, 24 Cal.4th at p. 114.)⁸

ii. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create "overly harsh" or "one-sided results", (*Armendariz, supra*, 24 Cal.4th at p. 114, internal citation and quotations omitted), that is, whether they reallocate risks in an objectively unreasonable or unexpected manner. (*Jones, supra*, 112 Cal.App.4th at p. 1539). "In assessing substantive unconscionability, the paramount consideration is mutuality." (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a "modicum of bilaterality," "without at least some reasonable justification for such one-sidedness based on 'business realities.'" (*Armendariz, supra*, 24 Cal.4th at p. 117.)

"Substantive unconscionability examines the fairness of a contract's terms. This analysis ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh, unduly oppressive, so one-sided as to shock the conscience, or unfairly one-sided. All of these formulations point to the central idea that the unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*OTO, supra*, 8 Cal.5th at pp. 129-130, internal citation and quotations omitted.)

Plaintiff argues the Agreement is substantively unconscionable the injunctive relief provision lacks mutuality; it includes sexual harassment claims in violation of the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Action of 2021 ("EFAA"); violates provisions of the EFAA by requiring Defendant's agreement for joining the arbitrable and inarbitrable claims; and the Code of Civil Procedure section 1281.2, subdivision (c) carve out is unconscionable. Plaintiff further argues that severance is not appropriate.

⁸ As explained below, the Court does not find any substantive unconscionability, thus, it declines to address Plaintiff's remaining arguments as to procedural unconscionability because a potential increase in the amount of procedural unconscionability would not be sufficient to establish that the Agreement is unconscionable.

a. Injunctive Relief

Plaintiff argues that the injunctive relief provision lacks mutuality. She further argues Defendant is more likely to seek injunctive relief and by permitting injunctive relief to be brought in court, Defendant gets the benefit of the judicial forum for its claims while forcing her to arbitrate her claims. (Opp., p. 11:11-18.) In reply, Defendant argues that Plaintiff fails to provide any evidence that it is more likely than her to seek injunctive relief. (Reply, p. 8:17-18.)

The Agreement, provides, “[i]n addition, this Agreement does not preclude either Employee or the Company from seeking injunctive relief in a court of law in accordance with applicable law. However, after the Court has issued a ruling concerning the injunctive relief, Employee and the Company are required to submit the dispute to arbitration pursuant to this Agreement.”

Code of Civil Procedure section 1281.8, provides, “[a] party to an arbitration agreement may file in the court in the county in which an arbitration proceeding is pending, or if an arbitration proceeding has not commenced, in any proper court, an application for a provision remedy, in connection with an arbitrable controversy, but only upon the ground that the award to which the applicant may be entitled may be rendered ineffectual without provisional relief.” (Code Civ. Proc., § 1281.8, subd. (b).)

Plaintiff reliance on *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227 (*Carbajal*) is unavailing because the provision in *Carbajal* required the plaintiff to arbitrate “any and all disputes” with the defendant while allowing the defendant to “obtain an injunction from a court of competent jurisdiction.” (*Id.* at p. 249.) Thus, the provision was expressly one-sided. Whereas, here, the provision explicitly allows both parties to seek injunctive relief. Therefore, Plaintiff is not precluded from seeking injunctive relief. Consequently, the provision is not substantively unconscionable.

b. Sexual Harassment Claims in Violation of the EFAA

Plaintiff argues the Agreement is substantively unconscionable because the definition of arbitrable claims includes claims for harassment or discrimination on the basis of sex in violation of the EFAA. (Opp., p. 11:22-25.)

The Agreement, provides, “[C]laims include, but are not limited to, claims for wages or other compensation due; claims for breach of any contract or covenant (express or implied); tort claims; claims for harassment or discrimination (including, but not limited to, race, sex, religion, national origin, age, marital status, medical condition, handicap, disability or other protected characteristic under applicable discrimination law); claims for benefits other than those brought under the Employee Retirement Income Security Act (“ERISA”); and claims for violation of any federal, state or other governmental law, statute, regulation, ordinance or common law.” (Agreement, p. 1.)

It further provides, “[t]his Agreement does not apply to any claims that cannot be arbitrated as a matter of law. If the Company or Employee pursue Claims subject to this Agreement and claims that are excluded from this Agreement then Claims subject to this Agreement must be arbitrated and claims that are not subject to this Agreement must be

litigated in court. In no event will Claims subject to this Agreement be joined with claims not subject to this Agreement and litigated in this court unless the Company and Employee both agree.” (*Ibid.*)

“[T]he EFAA states a categorical rule of unenforceability[.]” (*Casey v. Superior Court* (2025) 108 Cal.App.5th 575, 586 (*Casey*)). “The EFAA, a relatively new statute enacted in 2022, provides that a ‘person alleging conduct constituting a sexual harassment dispute’ may elect that ‘no predispute arbitration agreement ... shall be valid or enforceable with respect a case which is filed under Federal, Tribal, or State law that relates to the ... sexual harassment dispute.’” (*Id.* at p. 582.) “A ‘sexual harassment dispute’ is defined as ‘a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law.’ ... There is no California statutory counterpart to the EFAA.” (*Ibid.*) Whether the EFAA applies is a pure question of law. (*Id.* at 583.)

Here, Plaintiff admits that she does not present sexual harassment or sexual assault related claims but asserts that is not relevant because the contract itself is unenforceable due to its unconscionability. The Court is not persuaded, as Plaintiff does not provide any authority wherein a court has invalidated an arbitration agreement for violating the EFAA in similar circumstances. Moreover, most of the decisions Plaintiff does cite in support do not address the impact of the EFAA in any way.

The only case Plaintiff cites in support of this argument, which implicates the EFAA is *Decloedt v. Radnet Management, Inc.* (2026) 121 Cal.App.5th 732 (*Decloedt*), which involved an appeal of an order denying defendant’s motion to compel arbitration. (*Id.* at p. 737.) The plaintiff asserted 11 causes of action against the defendants, including for sexual harassment under the Fair Employment and Housing Act (“FEHA”). (*Ibid.*) (*Id.* at pp. 741-742.) The trial court denied the motion based on the EFAA, which applies to “a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribunal, or State law.” (See 9 U.S.C. §§ 401, subd. (4), 402, subd. (a).) The appellate court found that the plaintiff sufficiently alleged a sexual harassment claim under FEHA and thus, it affirmed the trial court’s denial of the motion compel arbitration. (*Id.* at p. 737.) The instant matter is distinguishable because Plaintiff does not assert a claim for sexual harassment. Plaintiff’s reliance on *Decloedt* is without merit because it did not address whether the EFAA could apply where the plaintiff did not assert a claim for sexual harassment. Additionally, the Court is unaware of any authority that has permitted a plaintiff to invoke the EFAA to avoid arbitration where they do not assert a claim for sexual harassment. Thus, the Court does not find substantive unconscionability on this basis.

Next, Plaintiff argues the Agreement violates provisions of the EFAA by requiring Defendant’s agreement for joining of arbitrable and inarbitrable claims.

Plaintiff relies on *Liu v. Miniso Depot CA, Inc.* (2024) 105 Cal.App.5th 791 (*Liu*), *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552 (*Doe*), and *Casey, supra*, 105 Cal.App.5th 552 for the proposition that the EFAA renders arbitration agreements unenforceable as to the entire case. However, as with *Decloedt, supra*, each of the cases Plaintiff relies on involved case where at least one claim fit within the scope of the EFAA. (See *Liu, supra*, 105 Cal.App.5th at p. 803 [“under the FAA, Liu may not be compelled to arbitrate any of her claims because [her complaint] contains claims premised on conduct that is alleged to constitute sexual harassment under state law]; *Doe, supra*, 105 Cal.App.5th at p. 577

[concluding that arbitration agreement is unenforceable as to each cause of action alleged in the plaintiff's FAC because the case unquestionably related to the sexual harassment dispute and arise out of the plaintiff's employment by the hotel]; *Casey, supra*, 105 Cal.App.5th at p. 588 [stating "where a plaintiff's lawsuit contains at least one claim that fits within the scope of the EFAA, [the agreement] is unenforceable as to all claims asserted in the lawsuit"].) Thus, Plaintiff's reliance on these cases is unavailing. Moreover, as explained above, the Court does not find that any of Plaintiff's claims fall within the scope of the EFAA. Accordingly, the Court cannot find unconscionability based on the EFAA.

c. Code of Civil Procedure section 1281.2, subd. (c)

Lastly, Plaintiff argues the carve-out pursuant to Code of Civil Procedure section 1281.2 ("Section 1281.2"), subdivision (c), is unconscionable.

Code of Civil Procedure section 1281.2, subdivision (c) provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

...

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition.

(Code Civ. Proc. § 1281.2, subd. (c) [emphasis added].)

Plaintiff argues the Agreement's express waiver of the protections of Section 1281.2, subdivision (c), is unconscionable because it unfairly favors the employer and it risks inconsistent rulings on common issues of fact or law. (Opp., 14:1-14.) Plaintiff fails to cite any authority finding substantive unconscionability where an arbitration agreement excludes Section 1281.2, subdivision (c).

The Agreement provides, "[i]f any provision of this Agreement is held to be invalid or unenforceable, in whole or in part, the remaining provisions shall continue to be valid and any unenforceable or conflicting provision shall be automatically severed. However, if the Waiver of Class, Collective, and Representative Claims is found to be unenforceable, then any claim brought on a class, collective, or representative action basis must be filed in a court of competent jurisdiction, and such court shall be the exclusive forum for such claims. The Company is engaged in interstate commerce; thus, *interpretation and enforcement of this Agreement shall be governed by the Federal Arbitration Act*. Petitions to compel arbitration or to modify, confirm or vacate any award may be brought in any state court of competent jurisdiction, under either the Federal Arbitration Act or under applicable state law. *However, the parties agree that California Code of Civil Procedure Section 1281.2(c) shall not apply*. This agreement sets forth the entire agreement between the parties hereto and fully supersedes

any and all prior agreements and understandings, written or oral, between the parties hereto pertaining to the subject matter hereof.” (Agreement, p. 2 [emphasis added].)

Here, it is undisputed that the interpretation and enforcement of the Agreement is governed by the FAA. Plaintiff does not argue that Section 1281.2(c) applies to the instant matter, but rather that the waiver creates an imbalance in favor of the employer. (Opp., p. 14:14-16.) The FAA does not contain a provision analogous to Section 1281.2, subdivision (c). Thus, it cannot be used to deny the enforcement of arbitration clauses governed by the FAA. (See *Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal.App.4th 438, 446.) Thus, the Court cannot find substantive unconscionability on this basis.

Based on the foregoing, the Court finds there is procedural unconscionability but it does not find any substantive unconscionability. As a result, the Court finds that the Arbitration Agreement is not unconscionable. Thus, Defendant’s motion is GRANTED.

XXII. DISMISSAL OF CLASS CLAIMS

Defendant requests dismissal of Plaintiff’s class claims.

With regard to class claims, the Agreement provides, as follows,

The Company and Employee agree that all Claims may only be brought in the party’s individual capacity, and not as a plaintiff or class member of any class, collective, or representative proceeding. No party may bring a claim on behalf of other individuals, except that if Employee is employed in the State of California, Employee retains the right to bring a claim under the California Private Attorneys General Act of 2004 in a court of competent jurisdiction for the recovery of civil penalties that are paid, in whole or in part, to the California Labor and Workforce Development Agency.

(Agreement, p. 1.)

Given the language of the class action waiver in the Agreement, it is clear that the claims asserted in this action come within the scope of the Agreement, which mandate the parties arbitrate “any employment-related legal claims or controversies the Employee may have against the Company, or that the Company may have against Employee...” (See Agreement, p. 1.) Plaintiff does not offer any arguments as to the class action waiver. Moreover, as the Court explained above, Plaintiff is unable to establish substantive unconscionability, which is necessary (along with procedural unconscionability) in order for the Court to invalidate the Agreement or any of its provisions. Accordingly, here, any class claims must be dismissed based on Plaintiff’s waiver of the right to bring such claims.

XXIII. REQUEST TO STAY

Defendant requests the Court stay this action pending the completion of arbitration.

Code Civ. Proc., § 1281.4, provides, “If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until

such earlier time as the court specifies. . . .” 9 U.S.C. § 3, provides, “If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action”

Based on the foregoing, a stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. Accordingly, the action is stayed in its entirety pending the outcome of arbitration.

XXIV. CONCLUSION

Defendant’s motion to compel arbitration is GRANTED, Plaintiff’s class claims are dismissed, and the matter is STAYED pending the outcome of the arbitration.

The Court will prepare the order.

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Calendar Lines 8-9

Case Name: *Tammy Read v. Timothy Cook, et al.*

Case No.: 26CV485245 (Consolidated with 26CV497503)

This is a shareholder derivative action on behalf of Apple Inc. (“Apple”), which arises from the allegedly wrongfully refused litigation demand made by Plaintiff Tammy Read upon Apple’s Board of Directors. The action is brought against defendants Timothy Cook, Katherine Adams, Eddy Cue, Craig Federighi, Greg Joswiak, Jeff Williams, Arthur Levinson, Alex Gorsky, Andrea Jung, Monica Lozano, Ronald Sugar, Susan Wagner, and Wanda Austin (collectively with Apple, “Defendants”).⁹

Before the Court is (1) Plaintiff’s motion to file her complaint and certain exhibits under seal; and (2) Apple’s motion to seal, which are both unopposed. As discussed below, the Court GRANTS Plaintiff’s motion to seal and GRANTS Apple’s motion to seal.

I. LEGAL STANDARD

“The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exist to achieve the overriding interest.” (Cal. Rules of Court, rule 2.550(d).) Pleadings, in particular, should be open to public inspection “as a general rule,” although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

“Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests.” (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) Confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party’s ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285–1286.)

Rule 2.550 does not directly apply to “discovery motions and records filed or lodged in connection with discovery motions or proceedings.” (See Cal. Rules of Court, rule 2.550(a)(3); *H.B. Fuller Co. v. Doe* (2007) 151 Cal.App.4th 879, 892-893 (*Fuller*) [the discovery process would be impeded if a presumptive right of public access to records disclosed under protective orders and filed in connection with routine discovery motions were imposed].) Nonetheless, even in discovery proceedings, a party moving for leave to file records under seal must identify the specific information claimed to be entitled to confidentiality and the nature of the harm threatened by disclosure. (See *Fuller, supra*, 151 Cal.App.4th at p. 894.)

Where some material within a document warrants sealing, but other material does not, the document should be edited or redacted if possible, to accommodate both the moving party’s overriding interest and the strong presumption in favor of public access. (Cal. Rules of Court, rule 2.550(d)(4), (5).) In such a case, the moving party should take a line-by-line approach to the information in the document, rather than framing the issue to the court on an all-or-nothing basis. (*Providian, supra*, 96 Cal.App.4th at p. 309.)

⁹ On August 7, 2026, the Court signed the parties’ stipulation consolidating the instant action with *Hodge v. Cook, et al.* (26CV497503).